



Fearnleys Dry Bulk Weekly

Jun 25, 2025

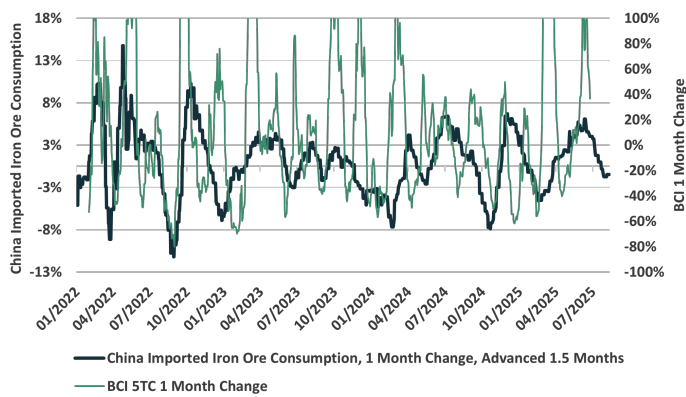
Capesize/Newcastlemax

Last week, we wrote:

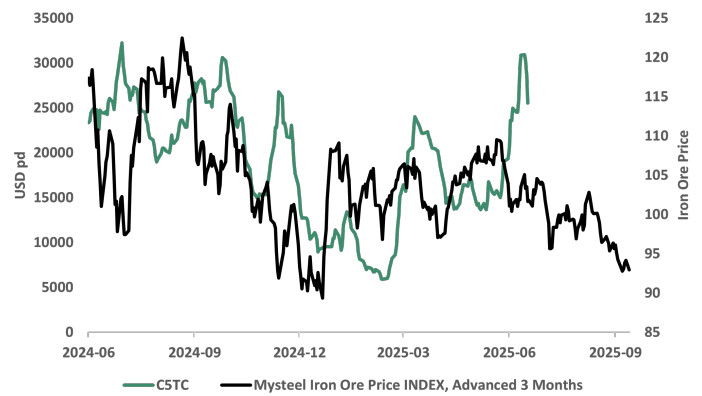
The topping phase is most likely moving toward a downward phase now. C5 is falling as the fiscal year-end fixing is past us. That, along with the Bauxite downseason, will weigh on the market in the next couple of months. However, the Brazilian "high season" will be a bullish factor.

The iron ore indicators displayed below all suggest a softening trend over the coming months. However, the Brazilian high season will be supportive, and as of now, it seems there will be no major drop in China's imported iron ore consumption, as steel mills' profit margins are relatively healthy.

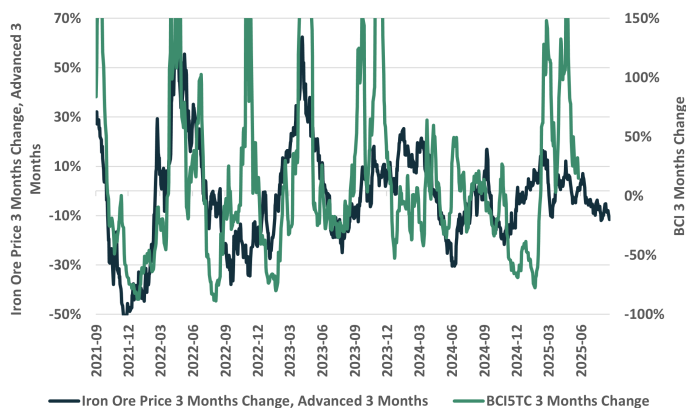
1 Month Change of China's Daily Imported Iron Ore Consumption, 1.5 Months Lead, vs C5TC 1 Month Change



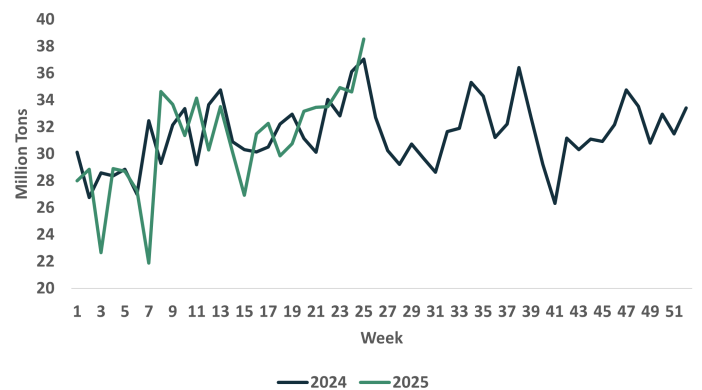
Iron Ore Price, 3 Months Lead, vs C5TC



3 Months Change of the Iron Ore Price, 3 Months Lead, vs 3 Months Change of C5TC



Capesize/Newcastlemax Weekly Shipment Volumes 2024 vs 2025





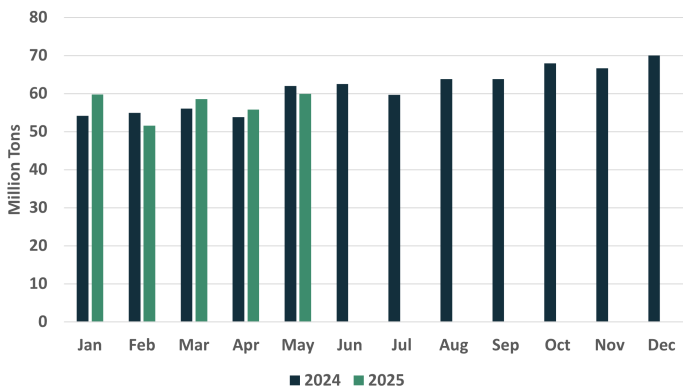
Panamax/Kamsarmax

Last week, we wrote:

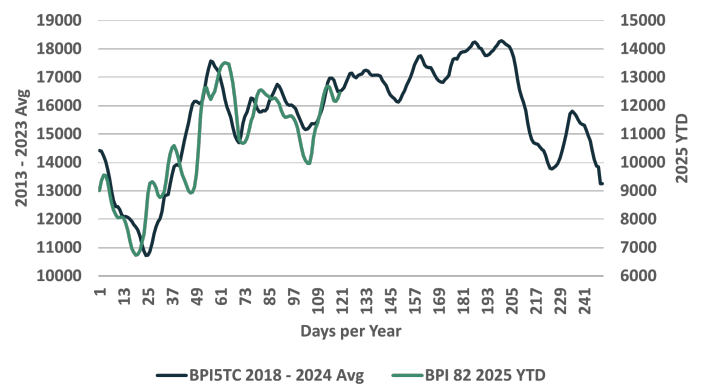
Fundamentals, average seasonality, and the fact that spot markets have lost some steam over the last days strongly suggest the market is peaking here. If the last month's index trading range remains, the 5TC index could drop back into the 10ks over the next month or so.

Average seasonality continues to be tracked very closely. That, along with the current firmness we see in both basins, means that rather than a slide down to the 10ks, the index could stabilize around 12k. However, fundamentals are not strong as shipment volume growth remains around 0%. Coal markets remain weak, and the ECSAM grain season will eventually wind down.

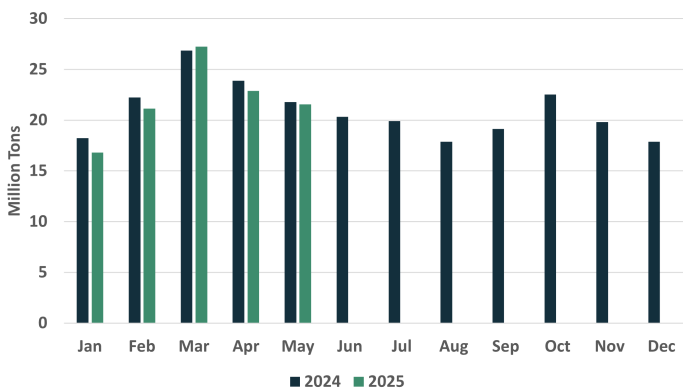
Panamax / Kamsarmax Coal Loadings by Month



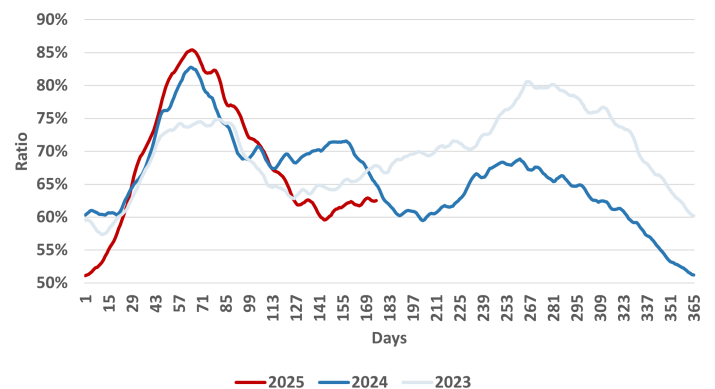
Kamsarmax Market Seasonality



Panamax / Kamsarmax Grain Loadings by Month



Panamax / Kamsarmax Atlantic / Pacific Ratio





Supramax/Ultramax

Last week, we wrote:

Fundamentals remain negative, with total shipment volume growth running at about 0%, against supply growth of about 5%. We do not see much chance of this changing over the next 6 months, and therefore expect market levels to remain below that of last year.

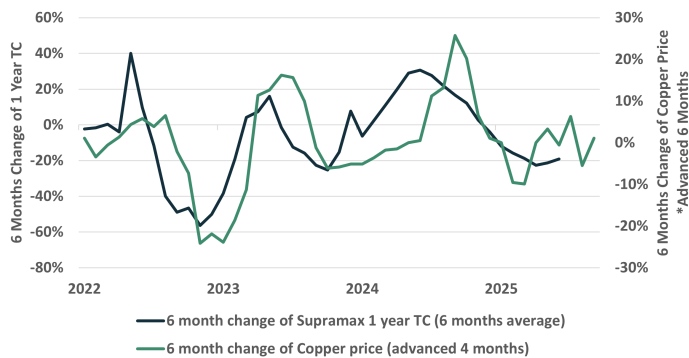
Looking past this year, we think fundamentals will improve. Lower energy costs and lower interest rates are likely to be the main drivers behind the next upcycle. Lower energy costs are already causing a relative improvement in Europe's manufacturing activity, which, along with front-running of Trump's tariffs, has contributed to firmer Atlantic markets over the last month or so (for all segments).

As long as energy costs remain at current levels (or drop further), global industry will receive a boost next year and in 2027. Coal prices probably have further room to fall, and oil markets are likely to be well supplied going forward, as IEA says, "Barring big disruptions, global oil markets are set to be well supplied over the next 5 years, with production capacity growth far exceeding the increase in demand".

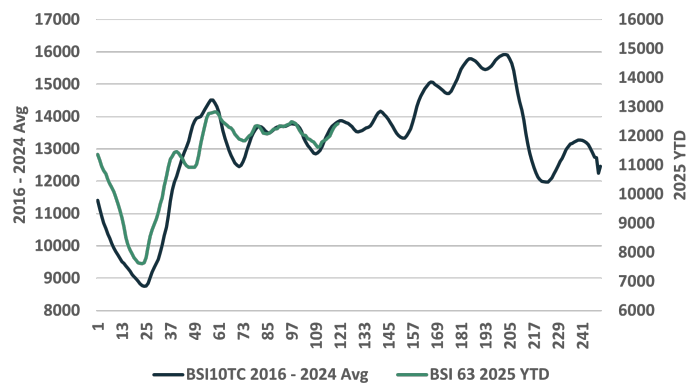
The bottom right chart displays that usually, lower yoy oil prices suggest the BDI will be higher yoy (and vice versa), with a 1-year lead.

Average seasonality continues to be tracked very closely. We expect the market to continue trading in a narrow range in the near term.

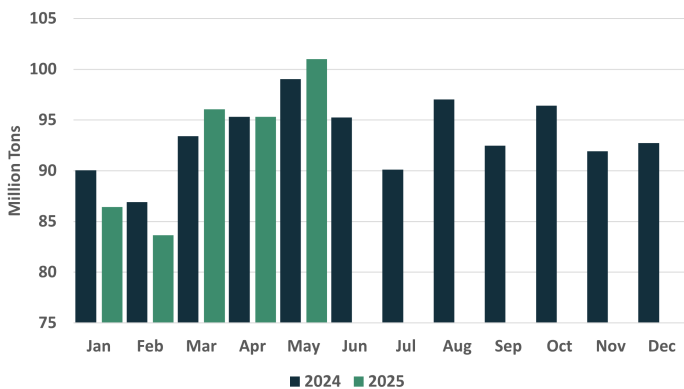
Copper Price Lead vs Supramax 1 Year TC 6 Months Change



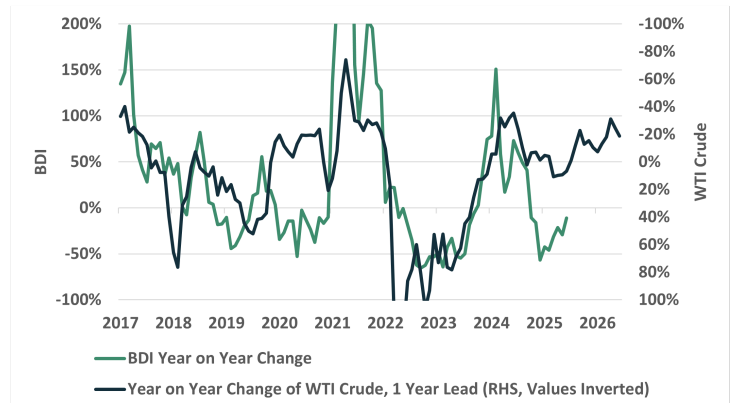
Supramax / Ultramax Market Seasonality



Supramax/Ultramax Monthly Shipment Volumes, by Year



WTI Crude Oil Price YoY Change, 1 Year Lead, vs BDI YoY





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